



MANGAL ANALYTICS AND
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MARC Insights Education Sector

2026



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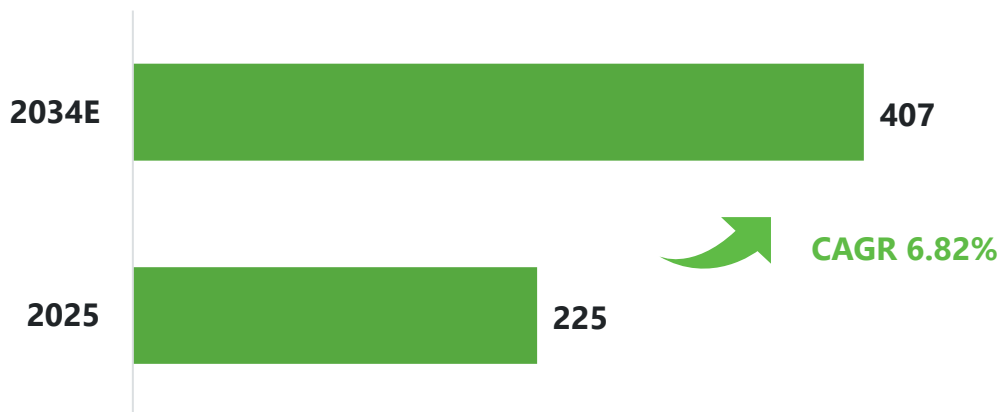
MARC's Key Takeaways

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Indian Education Sector - Overview

Indian Education Sector - Overview

Market Size (USD BN)



- Indian education industry is projected to grow from **USD 225 Billion** in FY25 to **USD 407 Billion** in FY34 at 6.82% CAGR.
- India has the largest population in the world in the age bracket of 5-24 years, with **nearly 580 million people**, offering immense opportunities for the education sector.
- The country holds a prominent position globally, with one of the largest networks of higher education institutions, comprising 52,321 colleges and 1,355 universities as of FY26 (as of November 2025).

Key Opportunities



100% FDI is permitted via the automatic route, requiring no prior government or RBI approval; the government has allocated USD 15.21 Billion for education and USD 2.36 Billion for private sector-driven research and innovation



Foreign universities can establish campuses in India under any legal structure including for-profit, with profit repatriation permitted under FEMA (Foreign Exchange Management Act) since 2023.



NEP 2020 (National Education Policy) is positioning India as a global destination for education, with initiatives like Study in India and Skill India designed to promote global competitiveness



SWAYAM (Free Online Learning Platform) offers courses in cutting-edge fields including machine learning, with additional investments in AI, broadband connectivity, and the Gyan Bharatam Mission transforming India's educational landscape.

Source- IBEE, IMARC Group, Invest India. Market size projections are calculated using data sourced from IMARC Group and INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Advantage India

Advantage India



Robust Demand

- India has 580 million population in the 5 to 24 age group and over 250 million school students making it the largest global student base.
- There is a large demand supply gap with requirement of 2,00,000 schools, 35,000 colleges 700 universities and 40 million vocational seats requirement indicating capacity constraints.
- Study in India program targets more than 0.5 million foreign students by 2047 supporting global education positioning.



Competitive Advantage

- QS Asia Rankings 2025 shows 2 universities in top 50 and 7 in top 100 led by IIT Delhi indicating improving global standing.
- 54 Indian institutions in QS World Rankings CY26 top 500 making India fourth globally in representation.
- Presence of IISc and IITs strengthens academic credibility and research output.
- Large domestic base supports scale and improves institutional efficiency.



Increasing Investments

- FDI inflows of USD 11.42 Billion since 2000 reflect sustained investor interest.
- EdTech investments of USD 14.66 Billion between 2015 and 2025 show digital adoption.
- Budget allocation of USD 52.12 Million for AI in education supports technology integration.



Policy Support

- 100 percent FDI allowed under automatic route enabling easy market entry.
- Proposed regulatory reforms aim to standardise accreditation and enable foreign institutions.
- Government schemes focus on infrastructure expansion and quality improvement.
- Policy emphasis on access and quality supports long term sector development.

Source- IBEF INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Key Risks In The Education Sector

Key Risks In The Education Sector



Enrolment Shift to Private Schools

- Total school enrolment stands at 246.9 million in 2024-25, a decline of 1.11 Million students YoY marking the third consecutive year of enrolment contraction.
- Government enrolment is at 121.6 Million (66.8% share); private unaided schools account for 39% of total students despite representing only 23% of all schools.
- Private unaided institutions have gained seven percentage points in enrolment share over four years, driven by parent demand for quality, English-medium instruction, and accountability signaling an accelerating structural shift from public to private delivery.



Regulatory Uncertainty

- The VBSA Bill 2025 proposes consolidating UGC, AICTE, and NCTE into one regulator, with penalties up to USD 236,490 and closure risk for institutions operating without accreditation.
- Funding will be tied to performance metrics, disproportionately threatening smaller private institutions and state universities with weaker governance.
- 100% FDI in education is already live meaning foreign and private operators face both a real market entry opportunity and rising compliance obligations simultaneously; governance quality is now the key differentiator.



Chronic Underfunding

- Centre-State education spend stands at 4.6% of GDP well below NEP 2020's mandated 6% target creating a structural and sustained resource deficit across public institutions.
- School education received USD 9.29 Billion in FY2025-26 nominally a 14.2% YoY increase but insufficient to close gaps in infrastructure, staffing, and technology at scale.
- Sustained underfunding creates a durable demand gap that private operators and EdTech platforms are positioned to fill but must price against households with low discretionary income.



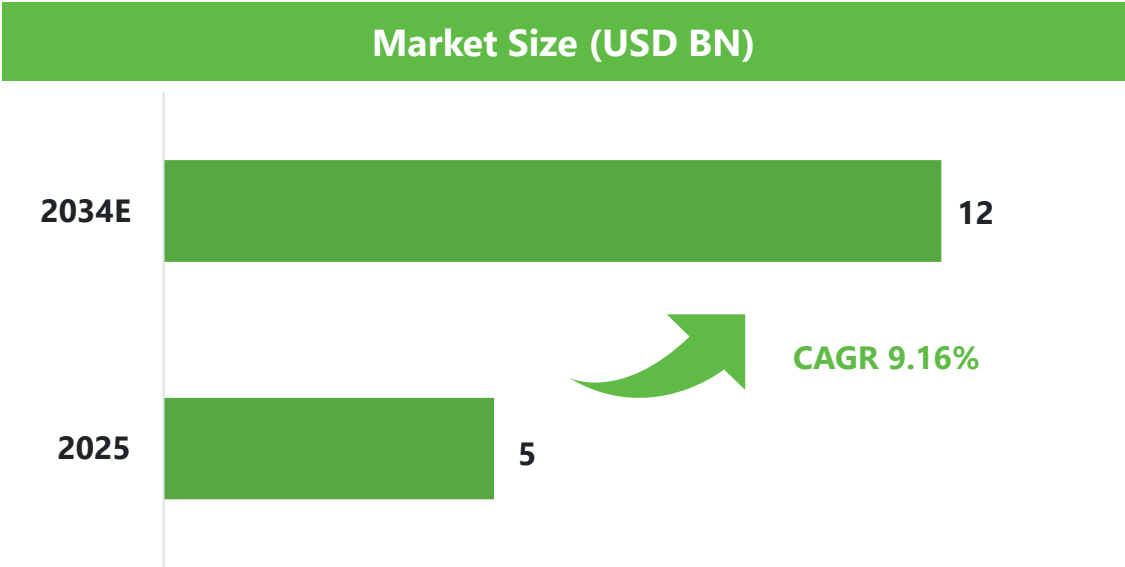
Teacher Shortage & Quality Deficit

- India has 104,125 single-teacher schools serving 3.38 Million students in 2024-25; while total teachers crossed 10 Million, government training budgets consistently disburse 30–60% below allocation, limiting real impact
- India needs 200,000 more schools and 40 million additional vocational seats, none of which can be delivered without a significantly larger and better-trained teacher base.
- Graduate employability stands at just 54.81% (India Skills Report 2025) meaning nearly half of all graduates are not market-ready, directly linking teacher quality deficits to labour market underperformance.

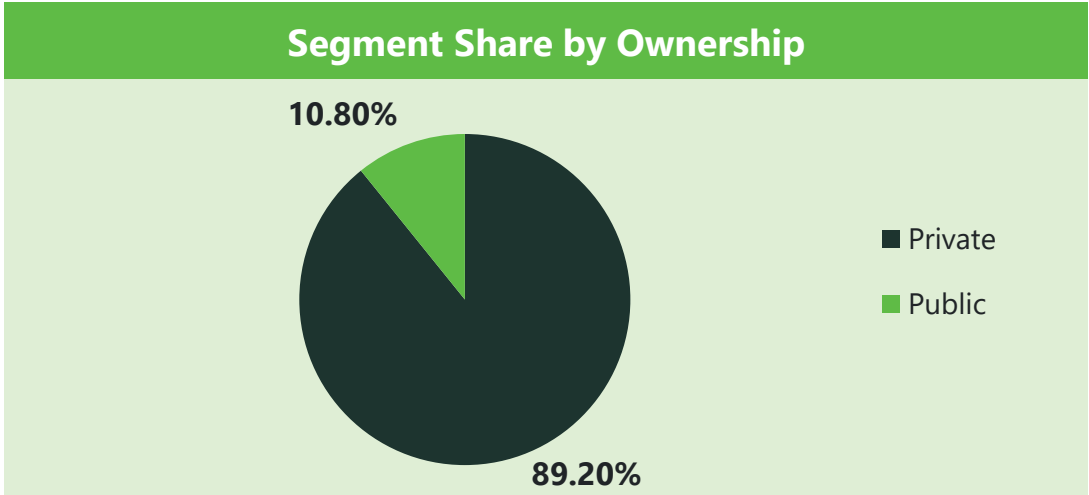
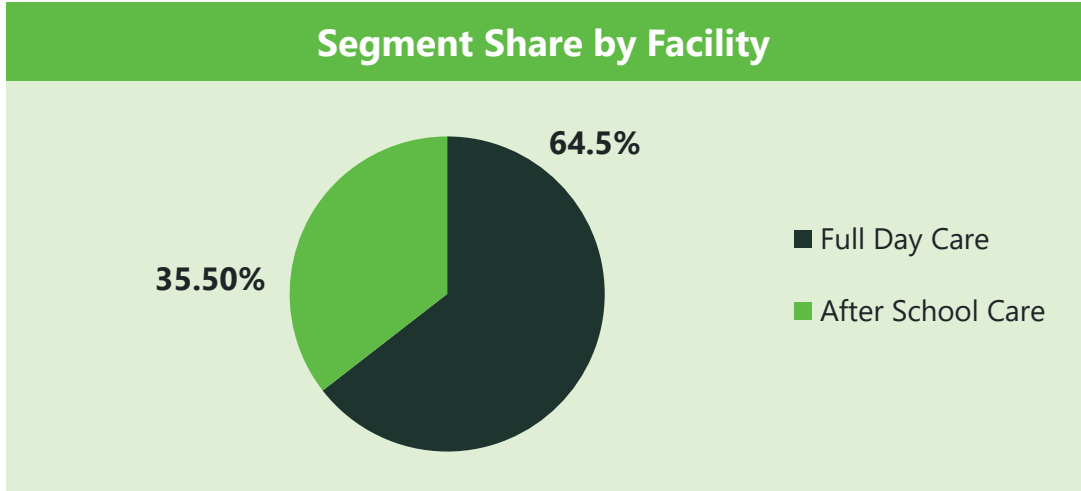
Source- UDISE, Education for all in India, VBSA Bill 2025 INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Key Sub-Segment Analysis

Pre-school/Childcare



- The Indian pre-school/childcare market size was valued at **USD 5 Billion** in 2025 and is projected to reach **USD 12 Billion** by 2034, growing at a **CAGR of 9.16%**.
- **Full day care dominates the market with a share of 64.5% in 2025**, driven by rising dual-income households demanding all-day supervised, structured childcare and learning solutions.
- **Private leads the market with a share of 89.2% in 2025**, owing to strong investor interest and parental preference for premium, innovative early education facilities.



Source- IMARC Group INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Pre-school/Childcare

Notable Trends

Integration of Play-Based Learning

- Indian preschools are transitioning from rote-based methods to play-based, holistic learning models aligned with NEP 2020 and the Foundational Stage framework
- Organised operators are scaling standardised curricula such as SPROUT across large networks, indicating structured curriculum transformation

Technology-Enabled Parental Engagement

- Digital platforms are becoming core infrastructure for communication, progress tracking, and administrative management in urban preschools
- Adoption of childcare applications is improving operational efficiency while strengthening parent engagement and retention

Expansion of Integrated Daycare Models

- Increasing dual-income households are driving demand for full-day and extended-hour childcare services
- Operators are expanding into integrated models combining education, care, meals, and enrichment activities, enhancing value proposition and revenue potential

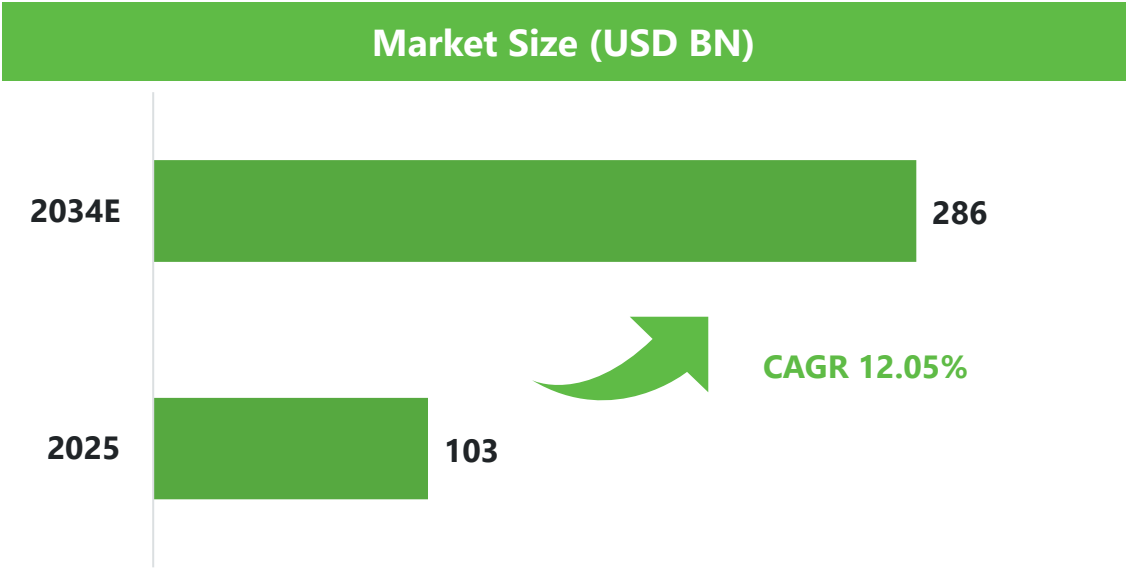
Major Players

	Kidzee	 #1	 2,000+
	Bachpan Global	 #2	 1,100+
	Eurokids	 #3	 1,000+
	Hello Kids	 #4	 832+
	Little Millennium	 #5	 750

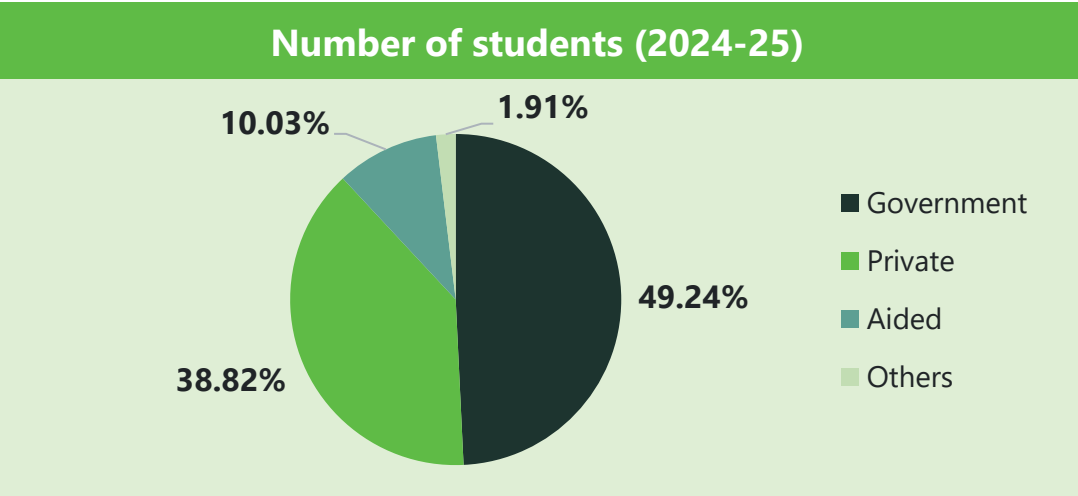
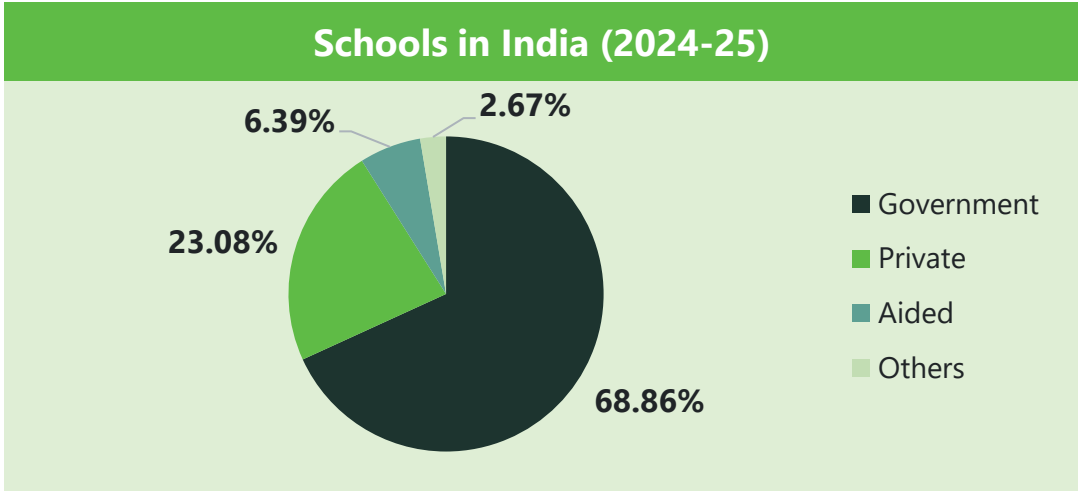
Ranked by Expert Market Research based on brand presence, franchise network size, and market standing

Source- IMARC Group, Expert market research. INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

K-12 Education



- The India K–12 education market is valued at **USD 103 Billion in 2025** and is projected to reach **USD 286 Billion by 2034**, growing at a CAGR of **12.05%**.
- India has a total of **1,471,891 schools as of 2024–25**, distributed across government, private, aided, and other categories
- Total student enrolment across schools in India stands at **246.9 Million in 2024–25**, across government, private, aided, and other institutions



Source- IMARC Group, IBEF The 2025 and 2034 figures are CAGR based estimates and not directly published and INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

K-12 Education

Notable Trends

Private Schools Adopting Franchise Models

- Private school operators are increasingly using a mix of franchise and owned models, where franchising allows faster expansion into new regions with lower capital investment.

Emergence of International School Segment

- International curriculum adoption is rising as Indian schools partner with global institutions, with IB World Schools increasing 44 percent from 192 in 2020 to 276 in 2025 and expanding beyond metro cities.

Increasing Use of Technology

- Technology adoption in education is accelerating with 2.6 million generative AI course enrolments in India in 2025, while AI and digital platforms such as PM eVIDYA are making learning more accessible and aligned with Education 4.0.

Key Challenges

- A major challenge remains high dropout rates with nearly 40 percent of students leaving after Class 10, along with continued gaps in senior enrolment and gender-based access in rural areas.

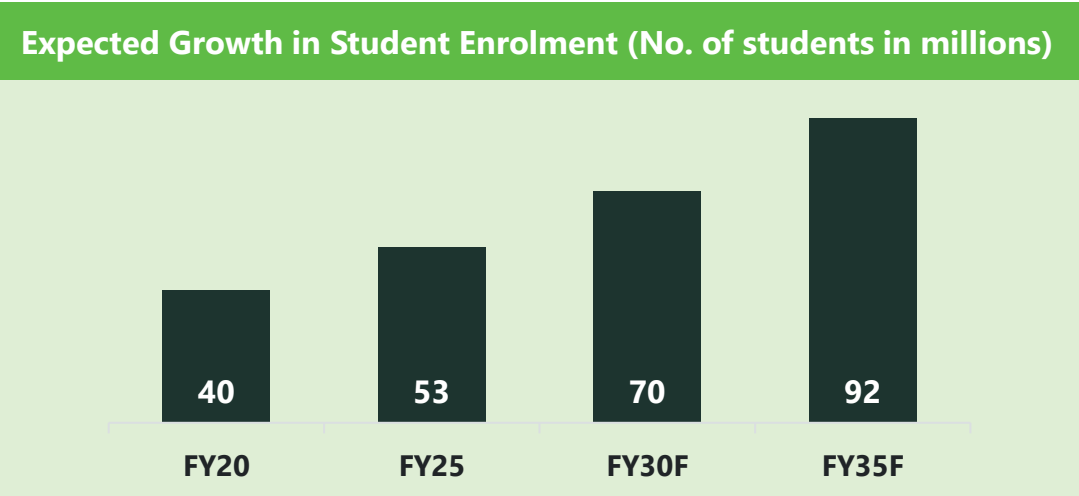
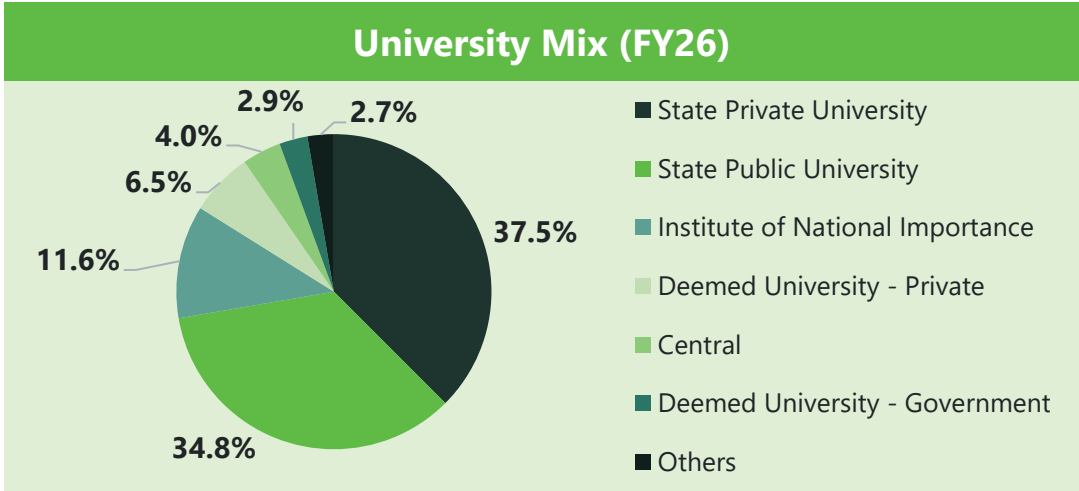
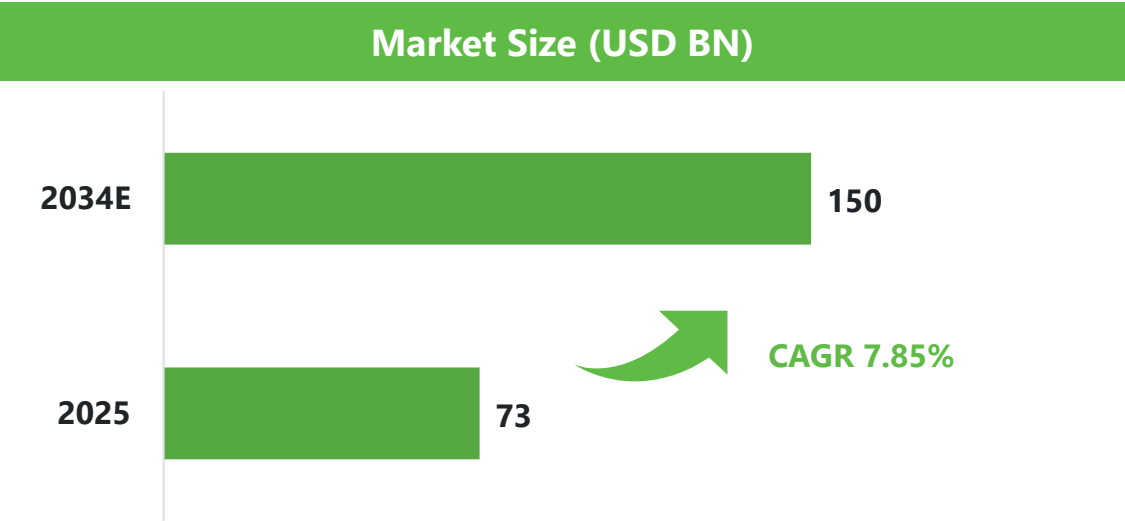
Major Players

	Vidya Bharati School	 #1	 13,000
	Kendriya Vidyalaya Sangathan (KVS)	 #2	 1,253
	Delhi Public School (DPS)	 #3	 217
	DAV (Dayanand Anglo-Vedic) School	 #4	 206
	Ryan International Group	 #5	 150+

Ranked by Education Fleet based on number of schools

Source- [IBEF](#), [EducationalFleet](#) INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Higher Education



- The India higher education market size was valued at **USD 73.3 Billion** in 2025 and is projected to reach **USD 150.2 Billion** by 2034, exhibiting a **CAGR of 7.85%**.
- Number of colleges in India reached **52,321 in FY26** and number of universities in India reached **1,355 in FY26**.
- There has been a significant increase in the share of state private universities as part of total universities. In FY26, 37.5% of universities in the state were state private universities and 34.8% were state public universities. In India, **51.8% of universities** and **54.3% of colleges** are situated in rural areas.

Source- IMARC Group, IBEF. FY26 data is reported up to November 2025 and INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Higher Education

Notable Trends

NEP 2020 Driving Institutional Reform

NEP 2020 is reshaping higher education through multidisciplinary learning, flexible curricula, and research-oriented teaching aligned with global standards. Government initiatives are pairing top-tier institutions with under-resourced ones and establishing Centres of Excellence to strengthen India's global research standing.

Rise in Private and Foreign University Participation

- Private universities are expanding rapidly with industry-aligned and flexible programmes. Foreign universities are now permitted to establish campuses in India under NEP 2020, increasing academic competition and raising overall education quality.

Shift Toward Skill-Based and Industry-Aligned Education

- Institutions are redesigning curricula to include vocational training, internships, and co-designed courses with industry partners, equipping graduates with practical skills for evolving job markets.

Digital Adoption and Online Learning Expansion

- Rising internet penetration and government initiatives such as Digital India and NDEAR are accelerating hybrid and online learning models, improving access particularly in remote and underserved areas.

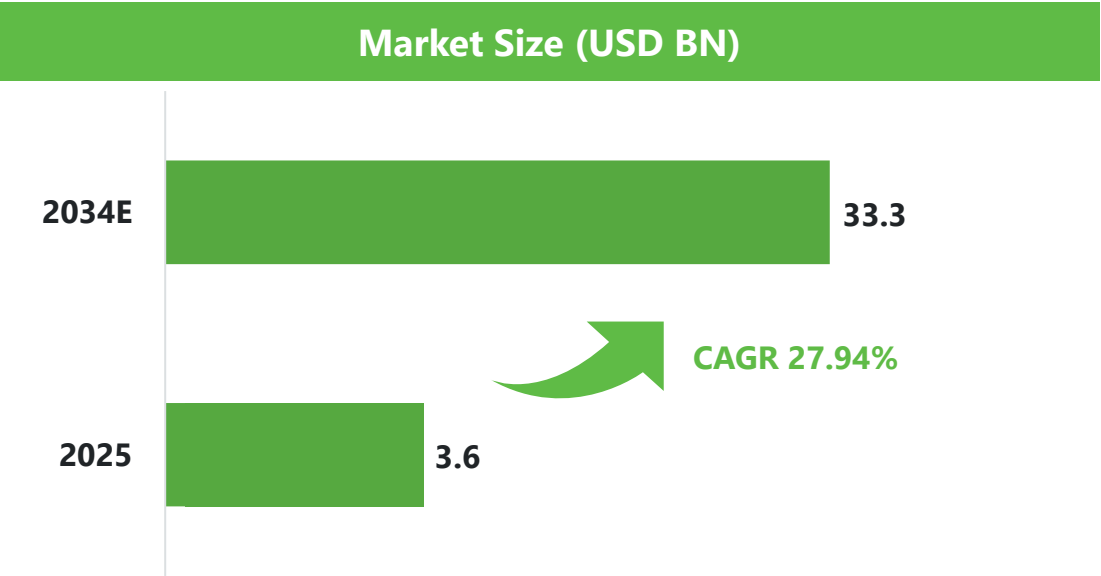
Source- [IBEE](#), [NIRFIndia.org](#)

Major Players

	Indian Institute of Science	 #1	 85.05
	Jawaharlal Nehru University	 #2	 71.00
	Manipal Academy of Higher Education (MAHE)	 #3	 69.25
	Jamia Millia Islamia	 #4	 69.10
	University of Delhi	 #5	 67.38

Ranked by NIRF India based on weighted avg. of Teaching, Research, Outcomes, Inclusivity & Perception scores

EdTech



- The India edtech market size was valued at **USD 3.6 Billion** in 2025 and is projected to reach **USD 33.3 Billion** by 2034, growing at a **CAGR of 27.94%** from 2026-2034.
- The market is driven by rising smartphone usage, wider internet access, and increasing demand for personalized learning (custom learning paths).
- Growth is supported by government digital education initiatives and adoption of AI-based learning (adaptive technology) along with skill-based platforms.

Market Segmentation		
Segment Category	Leading Segment	Market Share
Sector	K-12	43%
Type	Software	58%
Deployment Mode	Cloud-based	81%
End User	Individual Learners	49%

- K-12 leads the market with a **43% share** in 2025 due to high student demand and increased spending on extra digital learning.
- Software (learning platforms) dominates with a **58% share** because these platforms are scalable and integrate easily with schools.
- Cloud-based (internet-based storage and access) leads with an **81% share** due to low infrastructure cost and easy access across devices.
- Individual learners (students learning on their own) dominate with a **49% share** driven by self-paced learning and exam preparation needs.

Source- IMARC Group INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Notable Trends

Rise of Vernacular Language Learning

- Platforms are expanding beyond English and Hindi into Tamil, Telugu, Marathi, Bengali, and other regional languages, addressing the learning needs of non-metropolitan students who prefer native-language instruction. In October 2025, SpeakX.ai raised USD 1.6 Million to scale its AI-powered vernacular language platform across multiple regional languages.

AI and Adaptive Learning Integration

- AI-powered tutoring systems are enabling real-time doubt resolution, personalized content delivery, and predictive performance analytics. In October 2025, Infinity Learn by Sri Chaitanya launched AINA, a voice-first AI mentor built on Google Cloud, achieving 96.7% response accuracy across nine Indian languages.

Skill-Based and Professional Development Growth

- Platforms are rapidly developing industry-aligned programmes in data science, cybersecurity, cloud computing, and digital marketing. In February 2025, Oracle launched Project Vidya in collaboration with NSDC to train 500,000 youth and women in digital technologies with certifications, reflecting the structural shift towards career-oriented, employability-linked EdTech.

Major Players

	PhysicsWallah #1 Rs. 2,887 Cr
	upGrad #2 Rs. 1,569 Cr
	Unacademy #3 Rs. 826 Cr
	Vedantu #4 Rs. 227 Cr

Ranked by INC42 based on FY25 operating revenue.

Source- IMARC Group, INC42. INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Government Initiatives

National Education Policy (NEP) 2020



Concept

- **NEP 2020** redefines the educational architecture across four levels; school education, higher education, teacher education, and vocational and adult education.
- It replaces the **10+2 structure with a 5+3+3+4 curricular framework** corresponding to ages 3–8, 8–11, 11–14, and 14–18 years, integrating ECCE (Early Childhood Care and Education) into the formal system for the first time.



Key Targets

- **100% Gross Enrolment Ratio** from pre-school to secondary level by 2030 and Gross Enrolment Ratio in higher education to reach 50% by 2035, ensuring wider access and participation across education levels.
- Foundational literacy and numeracy for all children by Grade 3, Vocational education for at least 50% of learners by 2025, currently under implementation with integration into school curriculum from Grade 6 under NEP 2020 framework, and public investment in education to reach **6% of GDP**, improving learning outcomes and skill development.



Sub-Initiatives

- **PM SHRI Scheme** to establish 14,500+ exemplar schools with improved infrastructure and teaching standards, acting as benchmarks for quality.
- **NIPUN Bharat Mission** ensures foundational literacy and numeracy by Grade 2, addressing early learning gaps.
- **PARAKH** standardises student assessment towards competency-based outcomes.
- **Academic Bank of Credits** enables credit transfer across institutions, but low adoption (~31,000 UG and ~5,500 PG students till 2025) indicates implementation gaps.



Progress Overview

- NIPUN Bharat Mission rollout strengthened early education with nationwide adoption and **121 multilingual materials**, supporting National Education Policy 2020 foundational learning goals.
- Higher education enrolment reached **44.6 Million**, with 36–75% growth among underrepresented groups and female PhD enrolment at 112,000, aligning with NEP's access and inclusion targets.
- National Digital University launched in **January 2025**, supporting NEP's focus on digital and flexible higher education.

Source- [Ministry of Education](#), [Insights on India](#), [PIB](#) INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Union Budget 2026-27



Concept

- **Union Budget 2026-27** focuses on human capital development through AI integration, skill-linked education, and industry-aligned learning aligned with Viksit Bharat goals.
- Key initiatives include AI Centres of Excellence in Education, USD 37.84 Million for Atal Tinkering Labs, 5 University Townships near major industrial and logistics corridors, and one girls' hostel in every district to boost STEM enrolment.



Core Allocation

- Total education allocation stands at **USD 16.47 Billion, comprising USD 9.88 Billion for School Education and USD 6.59 Billion for Higher Education.**
- School Education accounts for the major share (~60%), reflecting continued government focus on foundational and school-level education.
- Higher Education accounts for ~40% of the allocation, reflecting sustained investment in universities, research, and skill development.



Strategic Allocation

- School education gets USD 4.98 Billion for Samagra Shiksha, USD 150.76 Million for PM-POSHAN, and USD 88.68 Million for PM-SHRI Schools.
- Higher education allocations include USD 143.35 Million for IITs, USD 74.02 Million for NITs, USD 43.86 Million for UGC, and nearly doubled funding to USD 10.64 Million for World-Class Institutions.
- A high-powered "Education to Employment and Enterprise" Standing Committee will align skilling, MSME growth, and AI readiness to target 10% of the global services market by 2047.



Growth Trends

- School education allocation increased from **₹78,572 crore (FY25-26) to ₹83,562 crore (FY26-27)**, a 6.35% increase and the highest-ever allocation for school education.
- Total allocation of ₹1,39,289 crore in FY2026-27 represents an 8.27% increase over last year, though India's public education spending still falls short of the NEP-mandated 6% of GDP target.
- Higher Education saw a stronger jump of **11.28%** over last year, signalling increased government focus on research and university-level investment.

Source- Ministry of Education, PRS India Budget Analysis, DD News, The Tribune, Education for all in India, The Print, NDTV. INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Skill India & Vocational Training



Concept

- Launched in 2015 to deliver skilling and re-skilling through a national network of training centres via schemes such as the **Pradhan Mantri Kaushal Vikas Yojana (PMKVY)** and the **Craftsman Training Scheme (CTS)**.
- Industrial Training Institutes (ITIs) expanded from 9,776 in 2014 to 14,682 as of 2025, a 50% increase in a decade.



PM SETU

- Pradhan Mantri Skilling and Employability through Upgraded ITIs (PM SETU) approved with a USD 7.09 Billion outlay over five years.
- 1,000 ITIs to be upgraded on a Hub-Spoke model: 200 Hub ITIs for advanced training, supported by 800 Spoke ITIs at the district level.
- **Five National Skilling Centres of Excellence** to be established for emerging and advanced trades.



PMKVY 4.0

- Extended to 2026 with a USD 1.04 Billion outlay, consolidating PMKVY (Pradhan Mantri Kaushal Vikas Yojana), the National Apprenticeship Promotion Scheme (NAPS), and Jan Shikshan Sansthan (JSS) into a single scheme.
- On-the-Job Training (OJT) integrated into short-term courses to ensure industry exposure before certification.
- **400+ new courses** launched in Artificial Intelligence (AI), 5G, cybersecurity, green hydrogen, and drone technology.
- Skill Hubs set up at IITs, NITs, and Kendriya Vidyalayas (KVs) to leverage existing infrastructure.



Milestones

- **16.4 Million candidates** trained under PMKVY since inception as of October 2025.
- **2.03 Million** trained in FY 2024–25, the highest annual figure since 2021.
- Graduate employability reached **54.81%** as per the India Skills Report 2025.
- Centres of Excellence for AI, robotics, and green technology launched at Hyderabad and Chennai in July 2025.

Source- [Skill India Mission](#), [PIB](#), [IBEF](#), [DD News](#) INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

FDI Liberalisation & International Partnership



Concept

- **100% Foreign Direct Investment (FDI)** is permitted in education via the automatic route, requiring no prior government or Reserve Bank of India (RBI) approval.
- Cumulative FDI inflows in education stood at **USD 11.42 Billion** from April 2000 to June 2025.
- Since 2023, foreign universities can establish campuses in India under any legal structure, including for-profit, with profit repatriation allowed under the Foreign Exchange Management Act (FEMA).



Global Standing

- India has **54 universities** in QS World University Rankings 2026, the fourth most represented country globally.
- Indian Institute of Technology Delhi (IIT Delhi) is India's highest-ranked institution at 123rd globally.
- Indian Institute of Foreign Trade (IIFT) opened its first overseas campus in Dubai in May 2025 under the National Education Policy (NEP) 2020.
- IIT Bombay announced its first global campus in Japan, in collaboration with Tohoku University, in May 2025.



Digital Skilling

- Coursera partnered with **18 Indian universities** including IITs and Indian Institutes of Management (IIMs) for Generative Artificial Intelligence (GenAI) skilling, enrolments rose 107% year-on-year to 2.6 million as of August 2025, the highest globally.
- Imarticus Learning partnered with PwC Academy in February 2025 to deliver professional GenAI training.



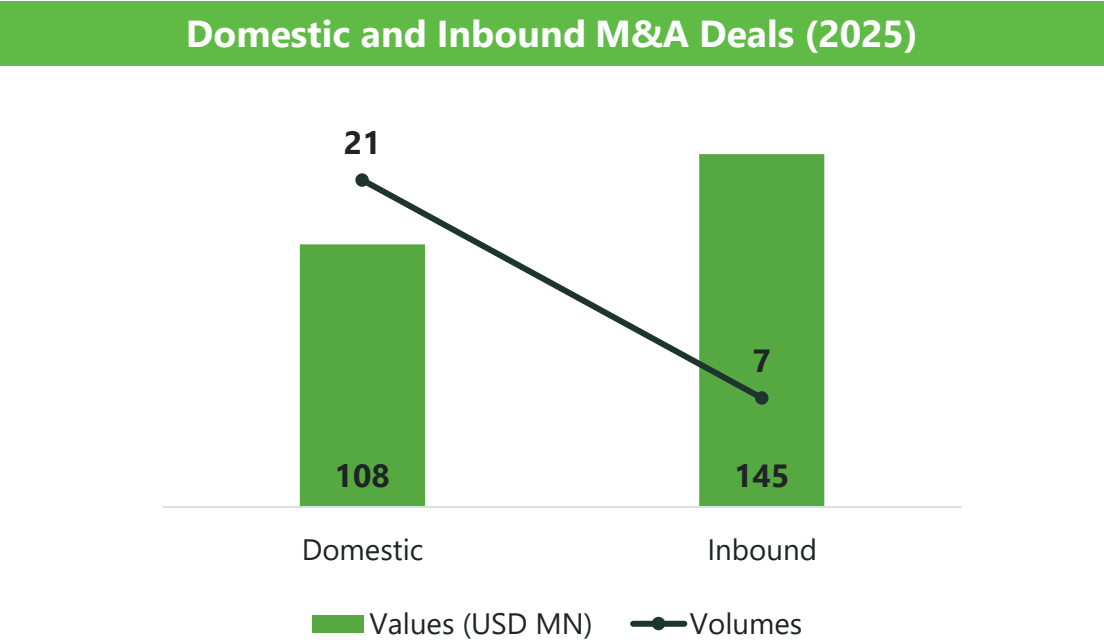
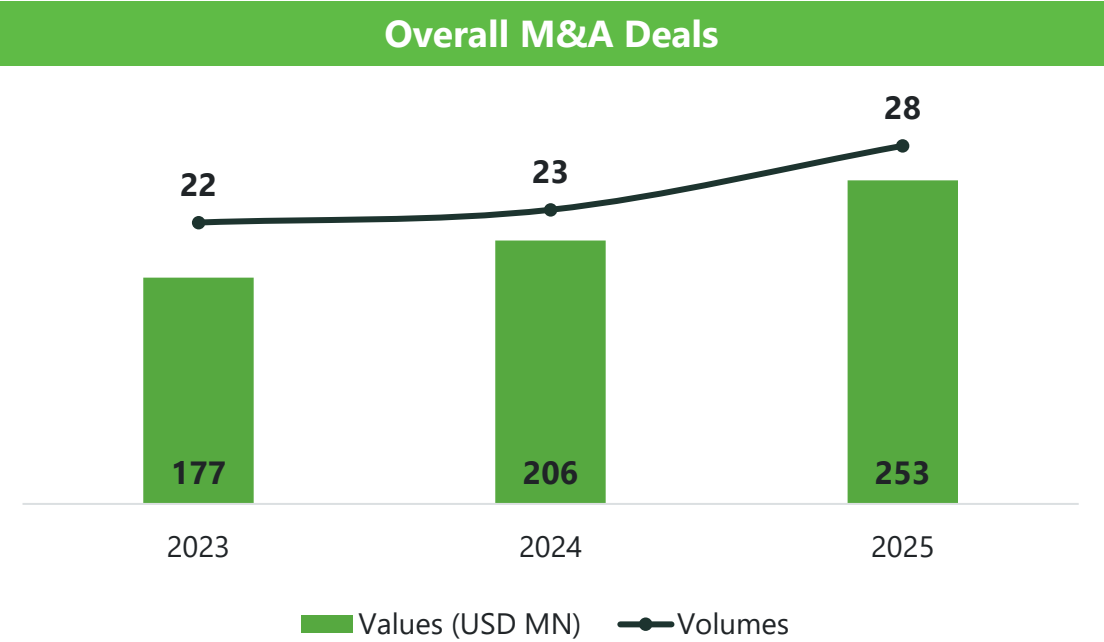
Bilateral Grants

- Going Global Partnerships launched **UK-India Industry-Academia Transnational Education (TNE) Grants 2025-26** in August 2025, offering up to USD 23,295 per project.
- Grants support structured collaboration between UK and Indian institutions and industry partners.

Source- [Invest India](#), [EFMD Global](#), [IBEF](#) INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

Capital Market & Deal Activities

M&A Deal Activity



- The Indian education sector recorded sustained growth in M&A activity over the three-year period, with total deal value rising from USD 177 Million in 2023 to USD 253 Million in 2025, reflecting a cumulative increase of 43%. Deal volumes followed a similar trajectory, expanding from 22 transactions in 2023 to 28 in 2025, indicating both growing investor appetite and increasing consolidation within the sector.
- Of the 28 M&A transactions recorded in 2025, 21 were domestic deals aggregating USD 108 Million, while 7 inbound deals accounted for USD 145 Million in value. Despite representing only 25% of total deal volume, inbound transactions contributed 57% of total deal value. Notably, there were no outbound deals recorded in 2025, suggesting that Indian education sector acquirers remained focused on domestic consolidation rather than cross-border expansion.

Source- Campaign Grant Thornton Dealtracker

Prominent M&A Deals

Acquirer	Target	Sector	Deal Value	Deal Type	Deal Details
upGrad	Unacademy	EdTech	Below USD 500 Million	100% Share-Swap	Domestic: Valuation down ~85% from USD 3.5 Billion crore peak
upGrad	Internshala	EdTech	USD 11.82 Million	90% Stock-Swap	Domestic: 34 million users, 450,000 employers
PhysicsWallah	Xylem Learning	EdTech	USD 14.53 Million	Stake Increased to 77.27%	Domestic: Regional category expansion. December 2025
PhysicsWallah	Utkarsh Classes	EdTech	USD 3.13 Million	Stake Increased to 75.5%	Domestic: Test prep expansion. December 2025

Source- [TechCrunch](#), [Inc42](#), [yourstory](#), [Economic Times](#), [Business Standard](#). INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

PE Deal Activity

Overall PE Deals

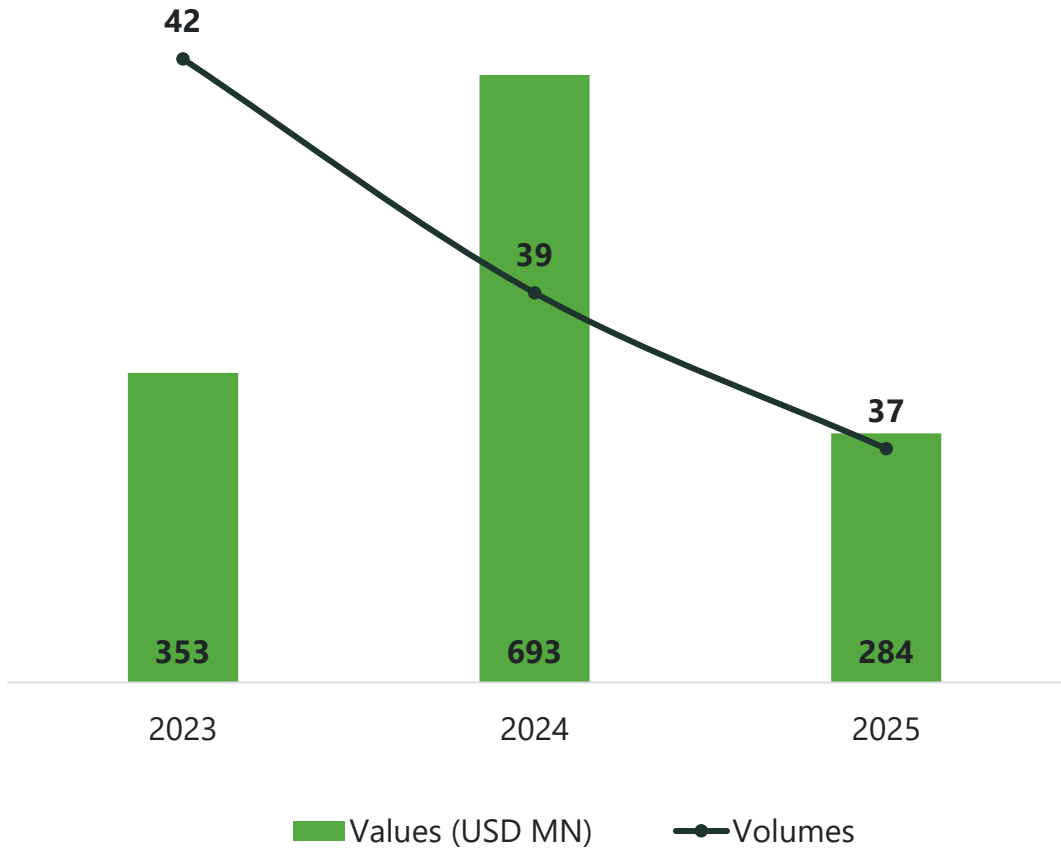


Chart Analysis

- Deal volumes declined slightly from **42 in 2023 to 37 in 2025**, showing that investors are still active but are becoming more selective rather than exiting the sector completely.
- Investment values behaved differently. They increased sharply to USD 693 Million in 2024 due to a few large one-time deals, but dropped to **USD 284 Million in 2025**, the lowest in the period indicating that such large investments were not sustained.
- This gap between stable deal numbers and falling total value means that while deals continue, most are smaller in size. In simple terms, funding is happening, but mainly through early-stage or low-ticket investments instead of large institutional bets.
- Overall, the sector is going through consolidation. While a few scalable players show potential, large institutional capital is still cautious and has not returned consistently across the sector.

Source- [Campaign Grant Thornton Dealtracker](#)

Prominent PE Deals

Investor	Investee	Sub-sector	Deal Value	Deal Type	Deal Details
Warburg Pincus, Kedaara Capital, Mubadala	Avanse Financial Services	Education Finance (NBFC)	USD 141.89 Million	Rights issue (existing shareholders)	Approved in December 2025 and completed in January 2026. Funds were raised from existing investors to expand the education loan business after delaying IPO plans due to weak US market conditions. Warburg Pincus holds a 59% stake post-investment.
Think Investments	PhysicsWallah (PW)	EdTech / Test Prep	USD 16.08 Million	Pre-IPO secondary (employee stake purchase)	Executed on 4 November 2025 at USD 1.5 per share, with a 17% premium to the expected IPO price. Around 10.7 million shares (0.37% stake) were purchased. The company later listed on 18 November 2025 at a 33.42% premium, indicating strong investor demand.
WestBridge Capital + Family Offices	PhysicsWallah (PW)	EdTech / Test Prep	~USD 11.82 Million	ESOP liquidation/ secondary deals	Conducted between January and July 2025 through multiple secondary/ESOP transactions. Shares were traded in the USD 1.5 – USD 1.62 range, with participation from several family offices, reflecting steady investor interest ahead of the IPO.

Source- *Business Standard, Entracker, Outlook Business* INR figures converted to USD at ₹84.57/USD (RBI Reference Rate, FY25 average)

IPO Activity

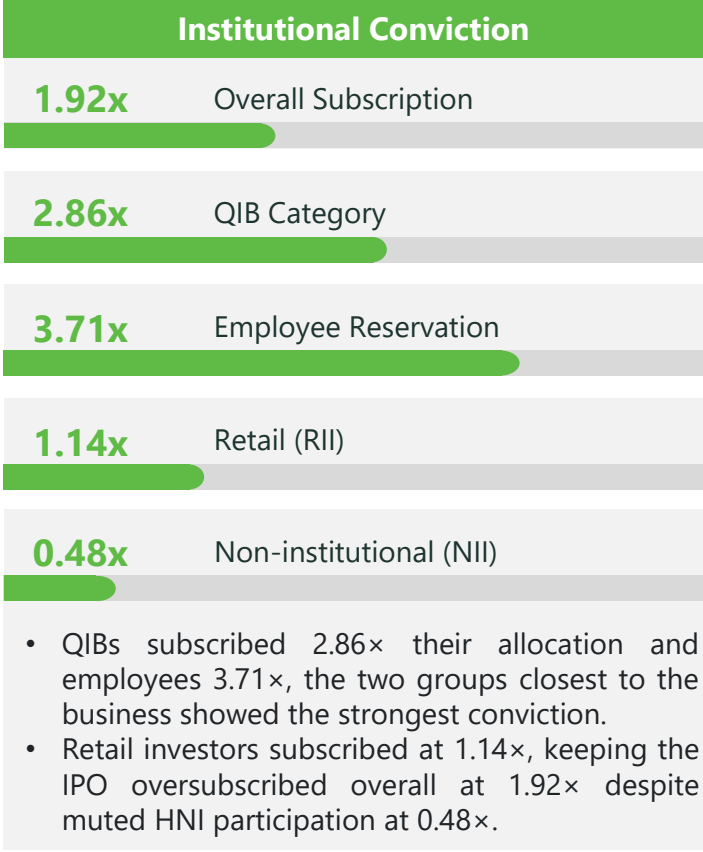
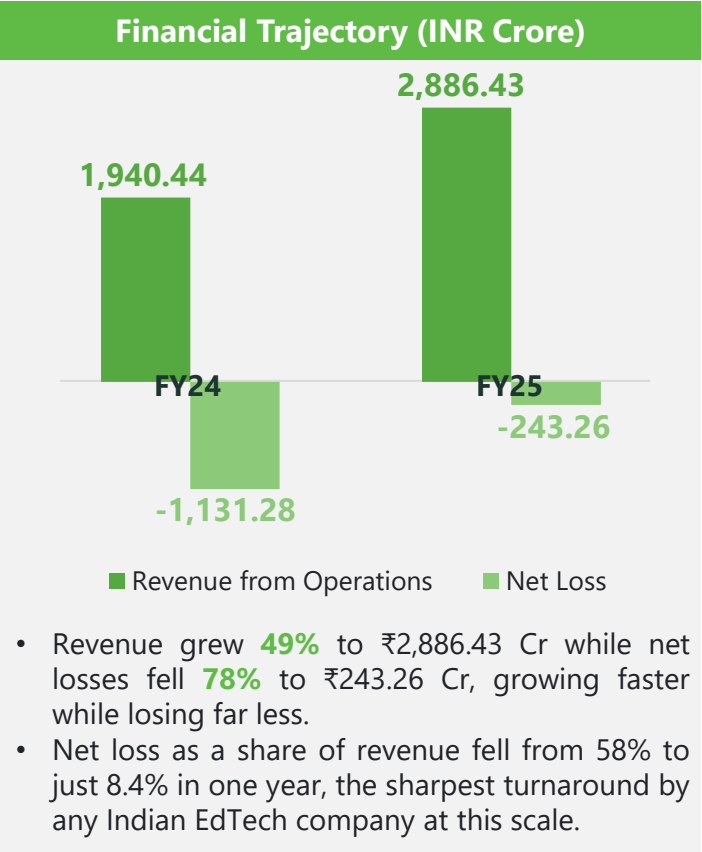
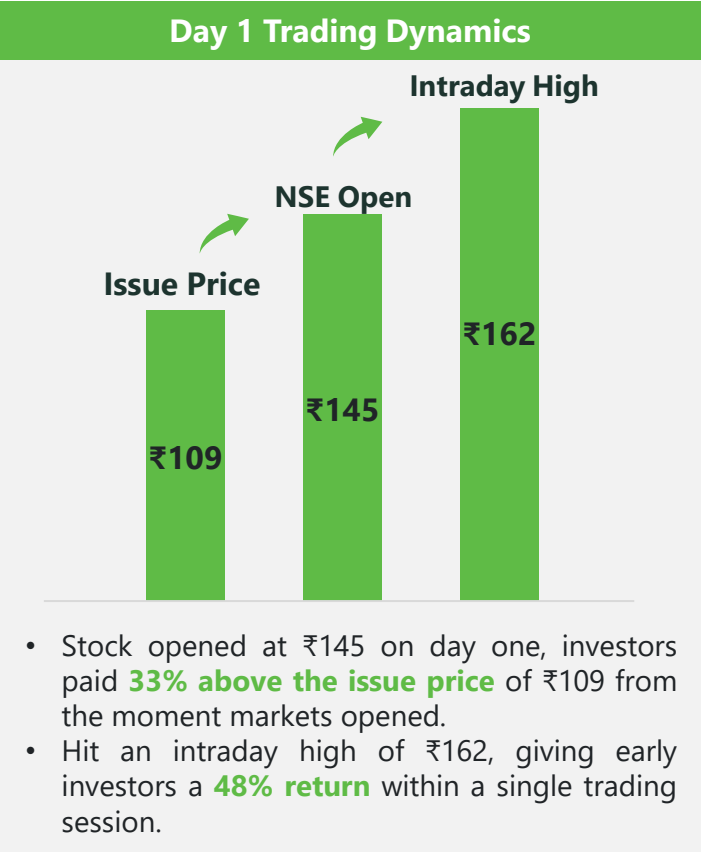
2025 records the **highest-ever annual capital mobilization** in India's education sector via public markets, ₹4,790 Crore raised across three mainboard IPOs on NSE & BSE. The year marks a sharp inflection from 2022-2024, when only one education IPO (Veranda Learning, ₹200 Cr) was recorded.

Physicswallah EdTech Test Prep (Hybrid) Issue Size 3,480 Cr Listing Premium +33% Subscription Intensity 1.92x Listing Date November 2025 Issue Type Fresh + OFS Exchange NSE & BSE PhysicsWallah's +33% listing premium and positive QIB participation validate the market's appetite for scaled EdTech players with EBITDA recovery not just revenue growth.	Crizac Study Abroad B2B Student Recruitment Issue Size ₹860 Cr Listing Premium +14.71% Subscription Intensity 62.89x Listing Date July 2025 Issue Type 100% OFS Exchange NSE & BSE Crizac's QIB subscription of 141x, the highest among the three signals that institutional capital strongly favours asset-light, globally-oriented education businesses with clear revenue visibility and consistent profitability.	Jaro Institute Online Degrees Upskilling Issue Size ₹450 Cr Listing Premium -17% Subscription Intensity 23.20x Listing Date September 2025 Issue Type Fresh + OFS Exchange NSE & BSE Jaro's flat listing followed by a 17% intraday decline reflects market caution toward online degree platforms without a demonstrated path to profitability.
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Source- Chittogarh Dealtracker, IPOWatch, 5Paisa, Business Standard, AngelOne

IPO Activity - PhysicsWallah

PhysicsWallah became the **first Indian EdTech unicorn to go public**, listing on NSE and BSE in **November 2025**. The IPO raised ₹3,480 crore: ₹3,100 crore as fresh capital for the business and ₹380 crore as an exit for early investors with shares priced at ₹103-₹109 and a minimum application of 137 shares. The stock opened 33% above its issue price of ₹109, valuing the company at ₹40,922 crore at listing. The listing marked the EdTech sector's first major public market exit after three years of decline following the 2022 funding crash.



Source- [SEBI](#), [BSEIndia](#), [Grantthornton Dealtracker](#), [Business Standard](#) While three education sector IPOs were recorded on Indian exchanges in 2025, detailed deal analysis is presented for PhysicsWallah only, as it represents the largest issue size

Financial Analysis

Profit & Loss Snapshot - Physicswallah Ltd.

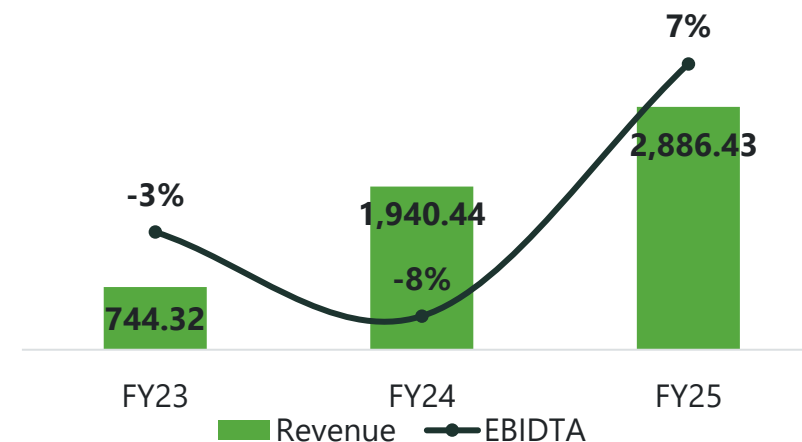
Snapshot of Physicswallah Ltd FY23 - FY25 (₹ Crore)

Particulars	Actuals			Common Size			Variance Analysis	
	FY25	FY24	FY23	FY25	FY24	FY23	FY25	FY24
Revenue from Operations	2,886.43	1,940.44	744.32	100%	100%	100%	49%	161%
Cost of Materials Consumed	961.61	469.76	84.75	33%	24%	11%	105%	454%
Gross Margin	1,924.82	1,470.68	659.57	67%	76%	89%	31%	123%
Employee Benefits Expense	1,401.24	1,158.97	412.57	49%	60%	55%	21%	181%
Other Expenses	715.81	1,287.07	149.73	25%	66%	20%	-44%	760%
EBITDA	199.00	-157.00	-22.00	7%	-8%	-3%	227%	-614%
Depreciation	366.43	298.29	75.00	13%	15%	10%	23%	298%
Finance Costs	85.00	65.00	21.00	3%	3%	3%	31%	210%
Other Income	152.46	74.64	28.22	5%	4%	4%	104%	164%
Profit Before Tax (EBT)	-258.55	-1,192.84	-89.48	-9%	-61%	-12%	78%	-1,233%
Tax	-15.29	-61.56	-5.41	-1%	-3%	-1%	75%	-1,038%
Net Profit (PAT)	-243.26	-1,131.28	-84.07	-8%	-58%	-11%	78%	-1,246%

Physicswallah's negative PAT reflects accelerated investment in offline infrastructure and acquisitions rather than operational weakness, evidenced by the return to EBITDA profitability in FY25.

Source- [Screener.in](https://www.screener.in/), Official Company Reports

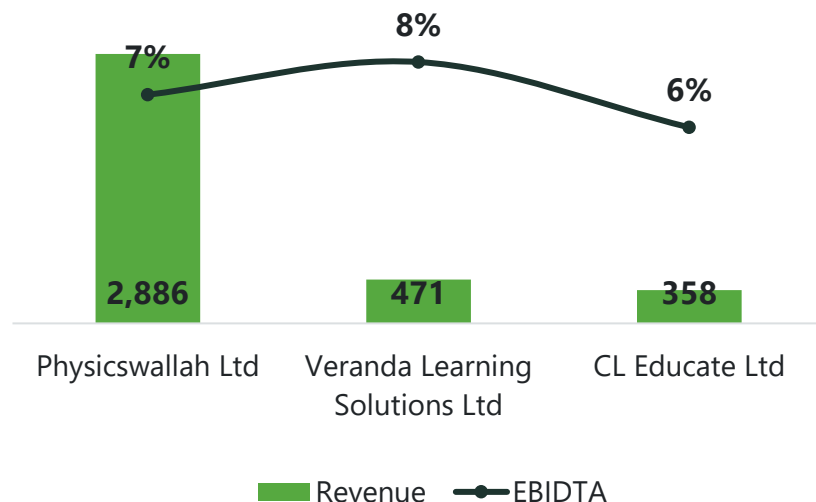
Revenue & EBITDA (₹ Crore)



- Revenue grew nearly 4x from ₹744.32 Cr to ₹2,886.43 Cr in two years, reflecting strong student demand for PW's affordable hybrid learning model across JEE, NEET, and K-12 segments.
- Gross margin declined from 89% to 67% as PW invested heavily in building physical offline centres and course content, meaning more of every rupee earned is now being reinvested into growth infrastructure.
- EBITDA turned positive in FY25 at ₹199 Cr (7% margin), showing revenues now cover operating costs.
- Net loss of ₹243.26 Cr is mainly due to high depreciation from offline centres; profitability is expected to improve as expansion stabilises.

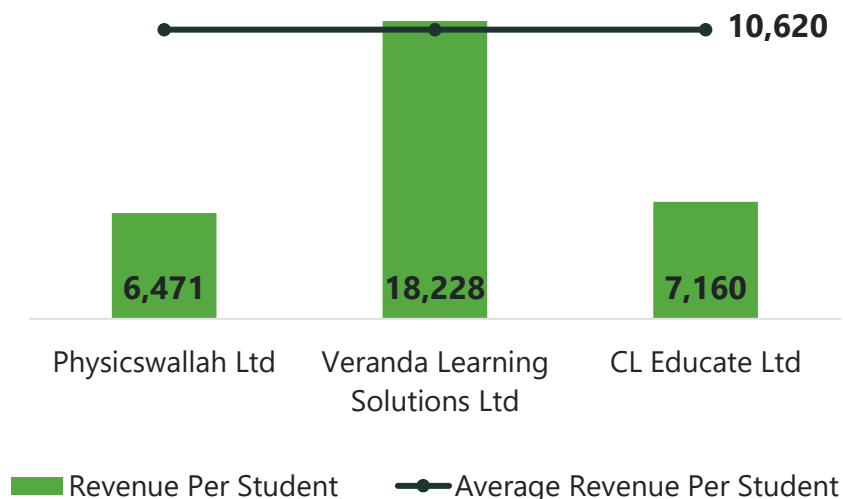
Competitor Analysis

Profitability Analysis (₹ Crore)



- PhysicsWallah's revenue of ₹2,886 Cr is 6x higher than Veranda Learning (₹471 Cr) and 8x higher than CL Educate (₹358 Cr), making it the undisputed scale leader yet the two smaller peers together still cannot match its revenue base.
- Despite this dominance, PhysicsWallah's EBITDA margin of 7% is marginally below Veranda's 8%, meaning for every ₹100 of revenue, Veranda retains ₹1 more in operating profit.
- This suggests PhysicsWallah's core challenge is not scale, it is margin efficiency relative to its size. As it rationalises expansion costs and shifts toward higher-yield product lines such as test prep, upskilling, and international markets converting its revenue dominance into proportionate margin leadership represents its most critical profitability opportunity.

Revenue Per Student Ratio



- Veranda Learning's (2.58 lakh students) Revenue Per Student of ₹18,228 is nearly 3x higher than PhysicsWallah (44.6 lakh students) and CL Educate (5 lakh students), and well above the peer average of ₹10,620 reflecting a premium, low-volume model targeting high-intent learners.
- PhysicsWallah and CL Educate both fall below the peer average, consistent with a high-volume, affordable-access strategy, PhysicsWallah in particular serves nearly 9x more students than Veranda, yet realises less than half the revenue per learner.
- The core takeaway: Veranda wins on yield, PhysicsWallah wins on volume.

Source- [moneycontrol](#), [screener](#) Companies are classified as Omnichannel based on their presence across online, offline, and hybrid channels. Digital maturity and revenue contribution from each channel may vary across peers.

KPIs in comparison

Particulars	Physicswallah Ltd	Veranda Learning Solutions Ltd	CL Educate Ltd
Revenue YoY Growth	+48.7%	+30%	+14.7%
Total Debt/Equity	0.00	2.00	0.89
Current Ratio	1.56	0.40	2.09
Interest Coverage Ratio	2.65x	0.63x	3.91x
Total Paid Users/Enrolments	44.6 lakh students	2.58 lakh students	5 lakh students
Total Offline Centres	198	200	150
Revenue Per Centre	₹14.58 Cr	₹2.36 Cr	₹2.39 Cr

Source- [moneycontrol](#), [screener](#) Companies are classified as Omnichannel based on their presence across online, offline, and hybrid channels. Digital maturity and revenue contribution from each channel may vary across peers.

MARC's Key Takeaways

MARC's Key Takeaways



Chronic Public Underfunding Structurally Favours Private Operators

India's education spending stands at 4.6% of GDP, well below NEP's mandated 6%. With the government consistently falling short of this target, the burden of delivery is shifting to private operators across all sub-segments. This gap is not a temporary policy lag but a structural condition that will continue to drive enrolment and revenue growth for well-positioned private education players.



EdTech is the Sector's Highest-Return Opportunity

With a 27.94% CAGR, the highest across all sub-segments and PW's IPO validating public market appetite with a 33% listing premium and EBITDA recovery from -42.7% to +6.33% in a single year, EdTech offers the most compelling combination of scale, capital efficiency, and investor validation. Platforms that combine affordable pricing with a hybrid online-offline model are best placed to lead the next phase of growth.



The Employability Deficit is Creating Structural Demand for Skill-Integrated Education

With graduate employability at just 54.81% and the government committing USD 7.09 Billion under PM SETU and USD 1.04 Billion under PMKVY 4.0, the demand for skill and vocational education is both structurally guaranteed and heavily policy-backed. Operators that embed industry linkages directly into their curriculum rather than treating vocational training as an add-on are positioned to command stronger enrolment and pricing power.



Foreign Capital is Moving Before Domestic Capital Does

Inbound M&A deals in 2025 were just 25% of total deal volume but contributed 57% of total deal value. With 100% automatic FDI and for-profit campus operations now permitted under FEMA, the data suggests India's education market is being re-rated by global capital before domestic investors have fully recognised the opportunity.



VBSA Will Reshape the Competitive Landscape

The proposed VBSA Bill introduces penalties of up to USD 2,36,490 and closure risk for non-accredited institutions. This will accelerate consolidation over the next 2–3 years, separating well-governed institutions that emerge stronger from weaker players that face forced exits or mergers, ultimately creating a more credible and investable private education landscape.



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